CRM TEAM REPORTING

Which customers need a different CRM approach?

What two years of sales tell us about our customers, and what to do about each group



Top Customers



Steady Regulars



New Starters



Fading Big Spenders



Gone Quiet

Based on sales data from Dec 2009 to Dec 2011

CRM Customer Segmentation

approach based on customer data with holiday and non-holiday seasonalities

What two years of sales tell us about our 5,253 customers, and what to do about each group



Top Customers



Steady Regulars



New Starters



Fading Big Spenders



Gone Quiet

Based on sales data from Dec 2009 to Dec 2011

THE SHORT ANSWER

Our customers from holiday customer data fall into five groups, and each group needs different treatment

36%

of customers bring in 80% of all revenue

Top Customers and Steady Regulars

1 in 2

customers had not ordered for over 5 months

Fading Big Spenders and Gone Quiet

120 days

without an order; after this point, most customers do not come back

In summer this point comes sooner, at about 60 days

So what? Sending the same message to everyone wastes budget. Put time into the customers who bring in the most, and into the ones we can still win back.

WHAT THIS IS BASED ON

Built on two years of orders, and checked against what customers did next

2 years

of sales records, Dec 2009 to Dec 2011

5,253

customers who had ordered before 9 Sept 2011

£13.2M

of their spending looked at, after cancellations

3 months

of follow-up to check that each group behaved as expected

Before any analysis we removed duplicate rows, test entries, postage and fee lines, and two mistaken giant orders that were reversed, so every figure comes from real purchases.

So what? When we checked what customers did next, each group behaved as expected in both summer and autumn.

HOW WE GROUPED CUSTOMERS

We asked three questions about every customer

How recently did they order?

Days since their last order

How often do they order?

Number of separate orders

How much have they spent?

Total spend, minus cancellations

Each answer is scored 1 to 4 compared with all other customers. Simple rules then place each customer in one of these five groups.

- Top Customers
- Steady Regulars
- New Starters
- Fading Big Spenders
- Gone Quiet

THE FIVE GROUPS

Meet the five customer groups

Top Customers

Order often, spend the most, and bought in the last few weeks

15% of customers

60% of spend

Steady Regulars

Order regularly with solid spend, like a smaller version of Top Customers

21% of customers

20% of spend

New Starters

Recent buyers with only one or two orders so far

14% of customers

2% of spend

Fading Big Spenders

Used to order often and spend well, but no order for about 9 months

9% of customers

11% of spend

Gone Quiet

Bought once or twice, almost a year ago

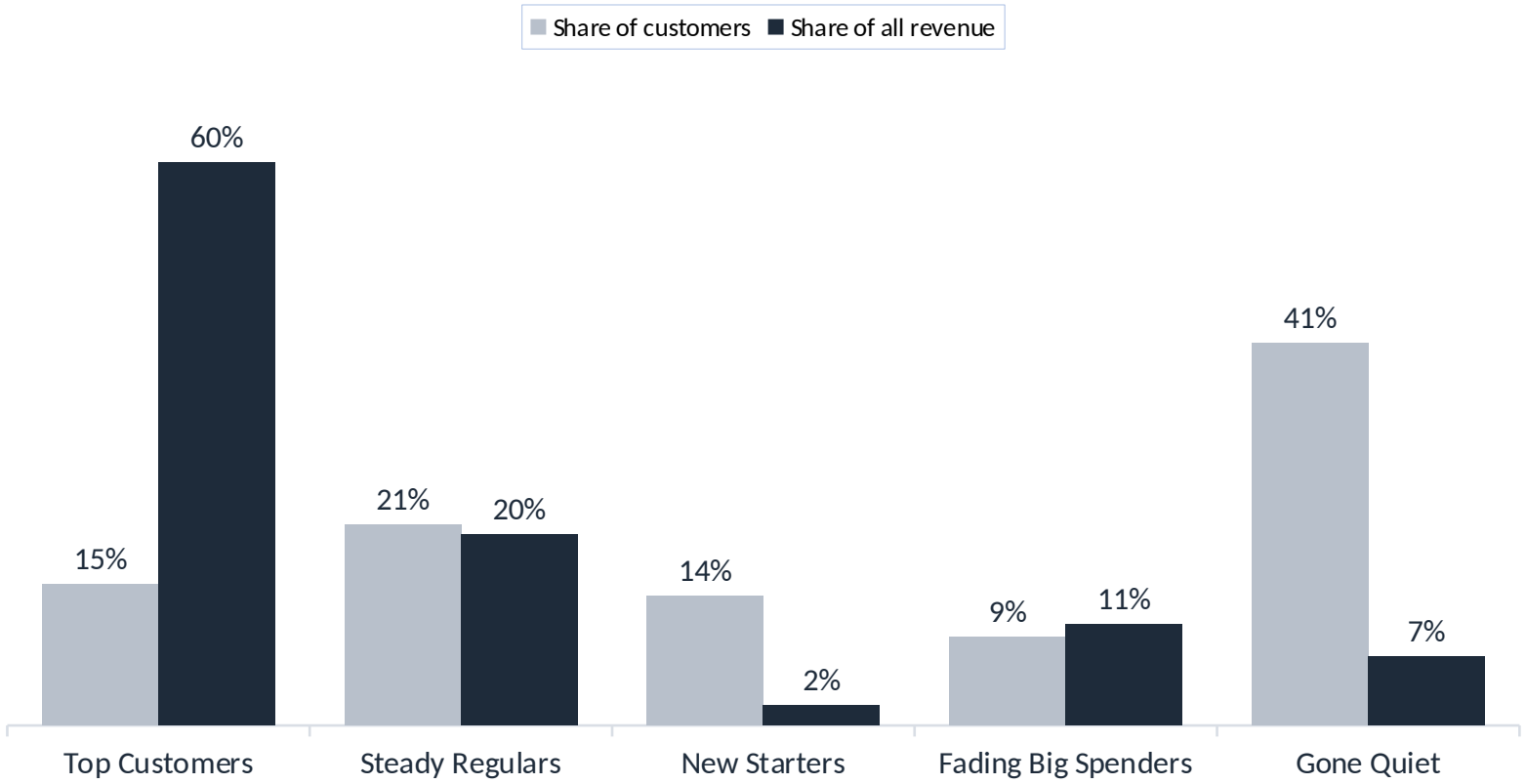
41% of customers

7% of spend

So what? Each group needs a different message; thank, grow, welcome, win back, or keep costs low.

WHERE THE MONEY COMES FROM

36% of customers brings in 80% of all revenue



Top Customers

15% of customers, 60% of revenue

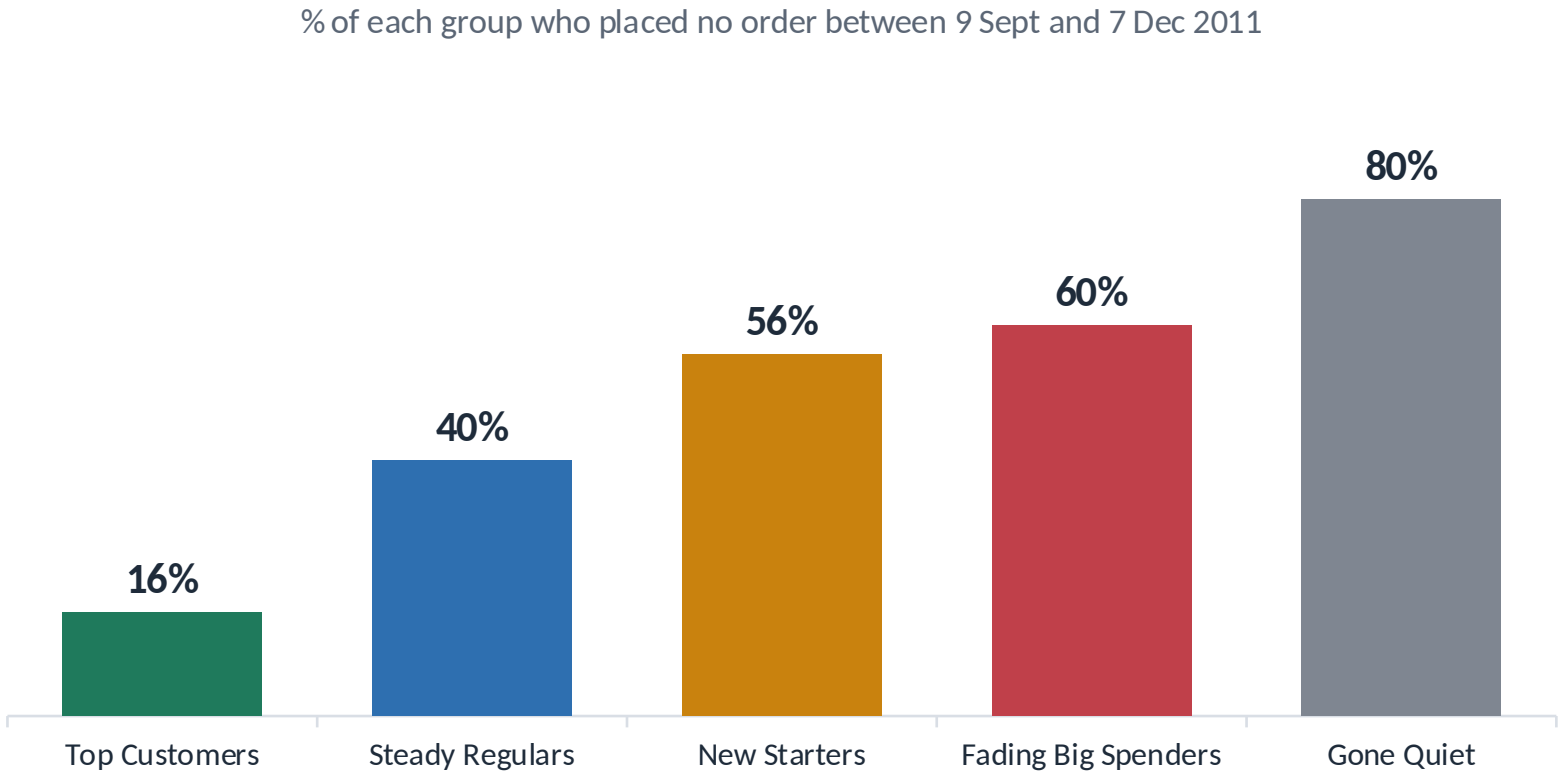
Gone Quiet

41% of customers, 7% of revenue

So what? Losing one Top Customer costs more than losing ten Gone Quiet customers. Budget and staff time should follow value instead of headcount.

WHO COMES BACK

The groups tell us who is likely to stop buying



Top Customers
More than 8 in 10 ordered again.

Gone Quiet
Only 1 in 5 ordered again.

All customers
57% placed no order.

So what? We built the groups without knowing who would leave, yet they sorted customers from most to least likely to stay. We can act before customers go.

Top Customers bring in 60% of spend, so protect them with service, not discounts

Top Customers

Order often, spend the most, and bought in the last few weeks

15% of customers (786)

60% of all revenue

Placed no order in the next 3 months

16%

Summer period: 23%

What makes them different

16 days since last order
Typical customer: 162 days

12 orders placed so far
Typical customer: 3

£4,429 spent so far
Typical customer: £759

140 different products bought
Typical customer: 41

A real customer

Customer 13078 has placed 46 orders and spent £22,710. Their last order was 14 days before the snapshot, and they ordered again in the next 3 months.

What the CRM team does

- Early access to new and Christmas ranges
- Named contact for the largest accounts
- Thank-you notes; discounts are not needed, most return anyway

So what? These 786 customers carry 60% of spend. Losing even a few costs more than any other group, so give them service and attention first.

Steady Regulars are the next Top Customers, and the group we lose the most value from

Steady Regulars

Order regularly with solid spend, like a smaller version of Top Customers

21% of customers (1,120)

20% of all revenue

Placed no order in the next 3 months



40%

Summer period: 51%

What makes them different

78 days since last order
Typical customer: 162 days

5 orders placed so far
Typical customer: 3

£1,496 spent so far
Typical customer: £759

72 different products bought
Typical customer: 41

A real customer

Customer 13085 first ordered in Dec 2009: Christmas lights, cherry lights and a strawberry trinket box. 8 orders and £2,290 later, they placed no order in the next 3 months.

What the CRM team does

- Product suggestions based on past orders
- Reminder once 60 days pass with no order
- Small reward for ordering more often

So what? 444 Steady Regulars placed no order in the next 3 months. Yet 1 in 4 moved up to Top Customers over the summer. This is the group to grow.

New Starters: getting them to a third order is what makes them stay

New Starters

Recent buyers with only one or two orders so far

14% of customers (722)

2% of all revenue

Placed no order in the next 3 months



56%

Summer period: 72%

What makes them different

70 days since last order
Typical customer: 162 days

2 orders placed so far
Typical customer: 3

£342 spent so far
Typical customer: £759

4 months as a customer
Typical customer: 16 months

What we see in the data

A typical New Starter placed a first order about 4 months ago, came back once, and has spent £342. Of the 722, 344 have ordered only once.

What the CRM team does

- Welcome emails at 7, 30 and 60 days
- Bestseller picks to build the second basket
- An offer tied to the third order

So what? Only 2% of spend today, but this is where future Steady Regulars come from. Over the summer, 1 in 3 became Gone Quiet instead.

Fading Big Spenders: a small, high-value group we can still reach

Fading Big Spenders

Used to order often and spend well, but no order for about 9 months

9% of customers (495)

11% of all spend

Placed no order in the next 3 months



60%

Summer period: 76%

What makes them different

284 days since last order
Typical customer: 162 days

5 orders placed so far
Typical customer: 3

£1,765 spent so far
More than a Steady Regular (£1,496)

£311 per order
Typical customer: £268

A real customer

Customer 18087 has placed 16 orders worth £13,564. In June they were a Steady Regular. By September they had gone 198 days without an order.

What the CRM team does

- Personal call or email from the account team
- Offer based on their past favourite products
- Main push in Sept and Oct, when many return

So what? Only 495 customers, so personal contact is affordable. Each one who does not return costs more than a lost Steady Regular.

Gone Quiet: 4 in 10 customers but 7% of spend, so keep contact low-cost

Gone Quiet

Bought once or twice, almost a year ago

41% of customers (2,130)

7% of all revenue

Placed no order in the next 3 months



80%

Summer period: 89%

What makes them different

336 days since last order
Typical customer: 162 days

1 order placed so far
Typical customer: 3

£328 spent so far
Typical customer: £759

58% bought only once
All customers: 30%

A real customer

Customer 15362 placed 2 orders worth £613 in total. Their last order was 356 days before the snapshot, and they did not order in the next 3 months either.

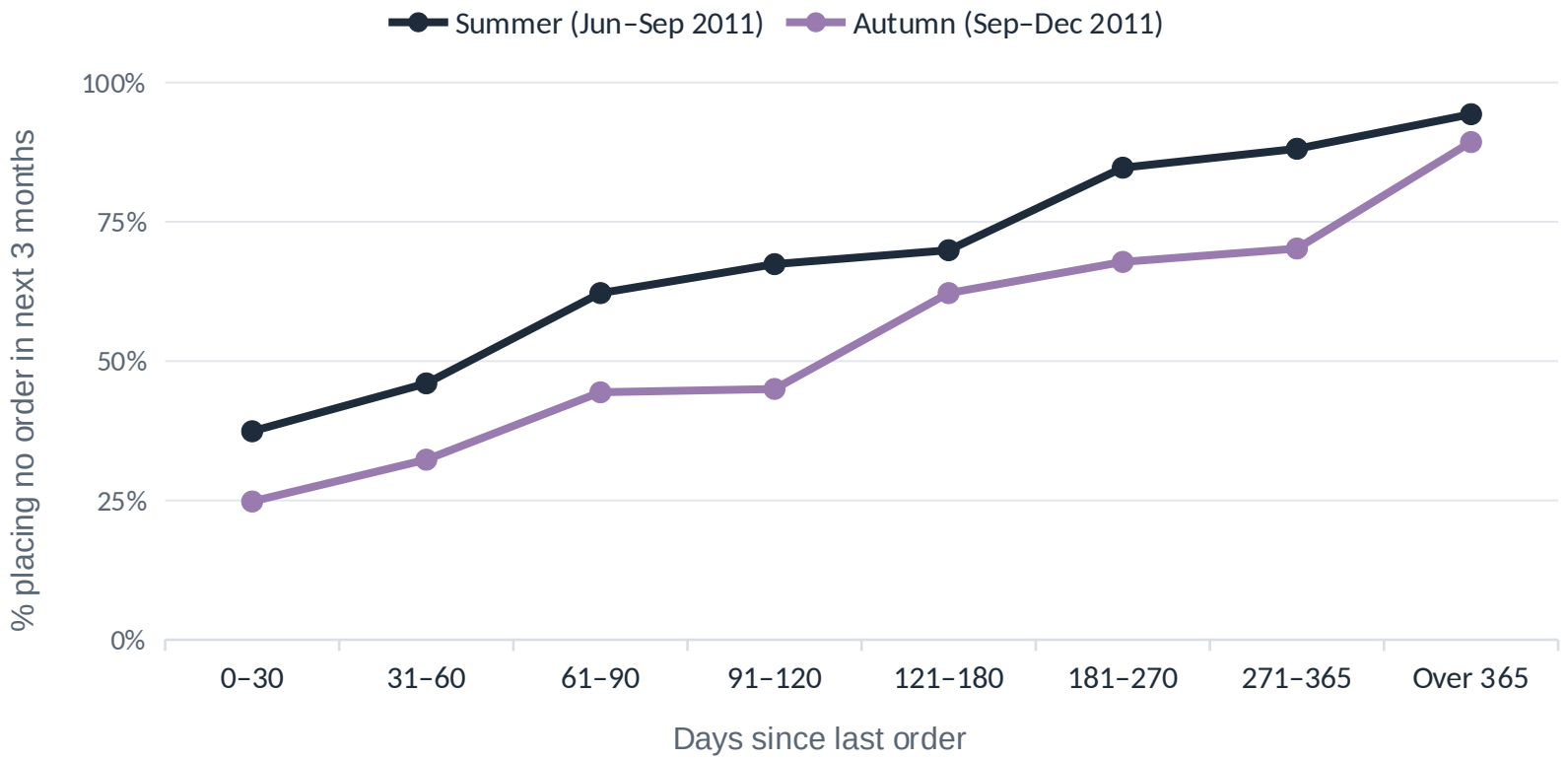
What the CRM team does

- Low-cost bulk email only
- One seasonal message before Christmas
- Drop from paid campaigns if there is no response

So what? Only 1 in 5 came back even before Christmas. Keep contact cheap and move budget to the groups above.

THE WARNING SIGN

The longer since the last order, the less likely a customer comes back



60 days

In summer, customers past this point are more likely to leave than return (62% did not order).

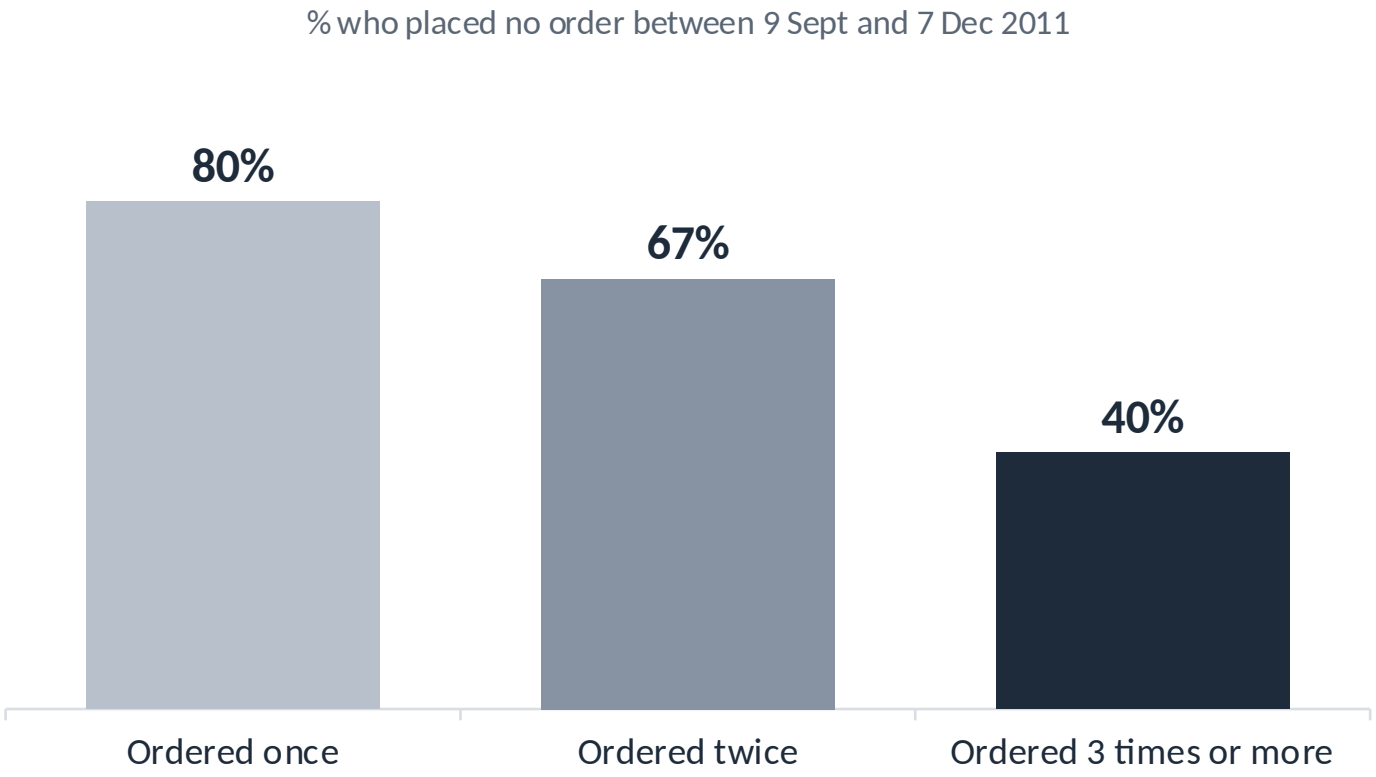
120 days

In autumn, the same point comes later (62% did not order after 120 days).

So what? Set two CRM reminders, contact customers at 60 days without an order from January to August, and by 120 days at the latest from September to December.

THE TURNING POINT

The third order is when customers start to stay



– by second order, drops 12 %

The chance of leaving drops a little (80% to 67%).

– by third order, drops 27%

The chance of leaving drops much more (67% to 40%).

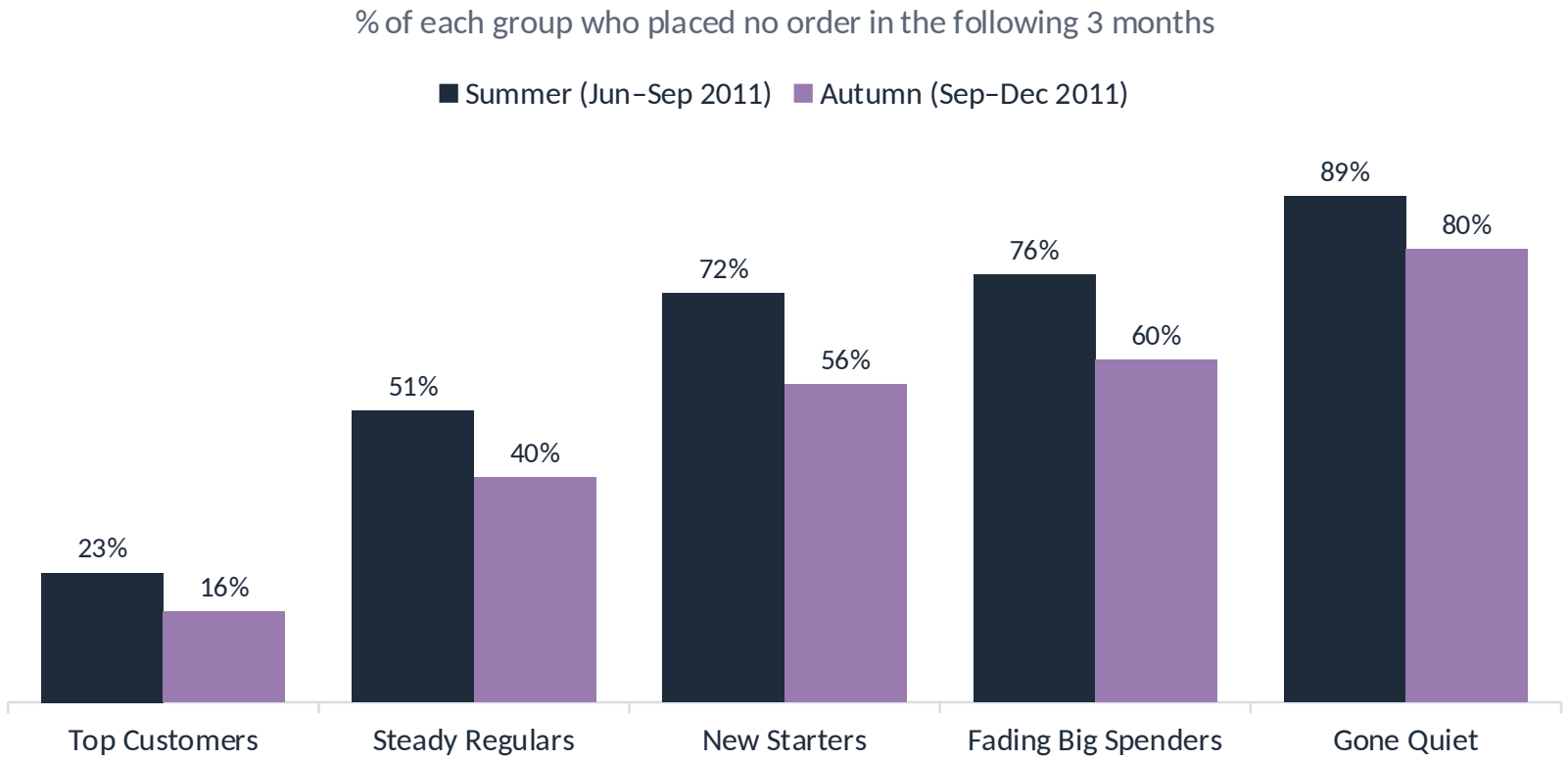
£1,778

Typical spend of a customer with 3+ orders, against £228 for a one-time buyer.

So what? Build the New Starter journey around one goal: the third order. A welcome email alone is not enough; the second order is only halfway.

TIMING MATTERS

Summer is when customers drift away; the run-up to Christmas brings many back



Every group is more likely to stop ordering in summer.

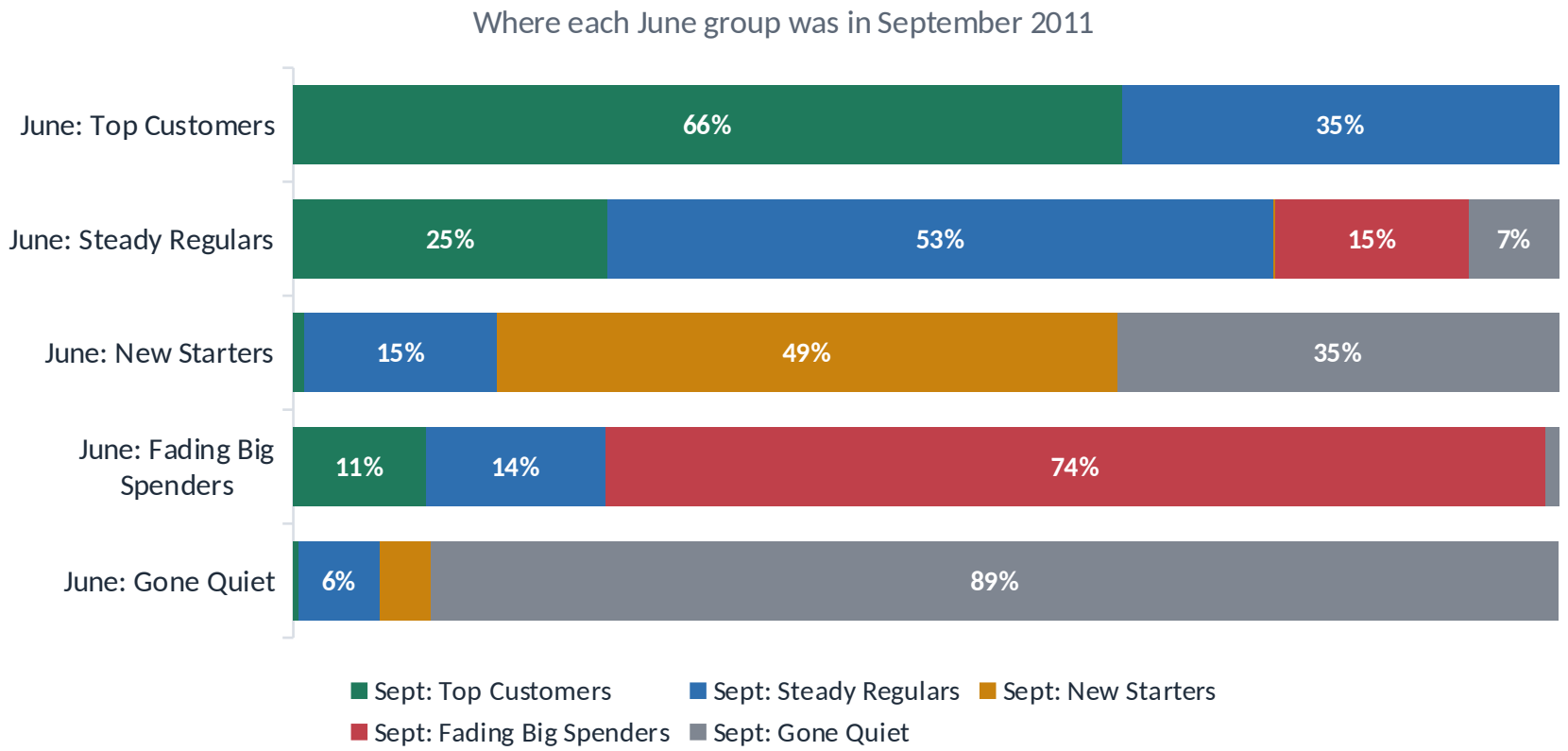
Biggest gap: New Starters and Fading Big Spenders, about 15 points each.

972 customers went quiet in summer but came back before Christmas.

So what? Run retention in June to August, when customers slip. Save the main win-back offers for September and October, when they are ready to buy.

GROUPS CHANGE

Customers move between groups within three months



1 in 4

Steady Regulars moved up to Top Customers

1 in 5

Steady Regulars slipped to Fading Big Spenders or Gone Quiet

1 in 3

New Starters became Gone Quiet

So what? A customer list from three months ago will send the wrong message to many customers. The groups must be refreshed regularly.

WHAT TO DO

One clear goal, offer, channel and timing for each group

Top Customers

GOAL

Keep them

OFFER

Early access, thank-you notes, account contact

CHANNEL

Account manager and email

WHEN

Ongoing; check anyone past 30 days

Steady Regulars

GOAL

Move them up to Top

OFFER

Picks based on past orders, reward for ordering more

CHANNEL

Email, account contact for larger buyers

WHEN

Trigger at 60 days with no order

New Starters

GOAL

Get orders 2 and 3

OFFER

Welcome series, bestseller picks, third-order offer

CHANNEL

Automated email series

WHEN

7, 30 and 60 days after first order

Fading Big Spenders

GOAL

Win them back

OFFER

Personal offer on past favourite products

CHANNEL

Phone call and personal email

WHEN

Now; main push Sept–Oct

Gone Quiet

GOAL

Low-cost reminder

OFFER

Seasonal catalogue or collection email

CHANNEL

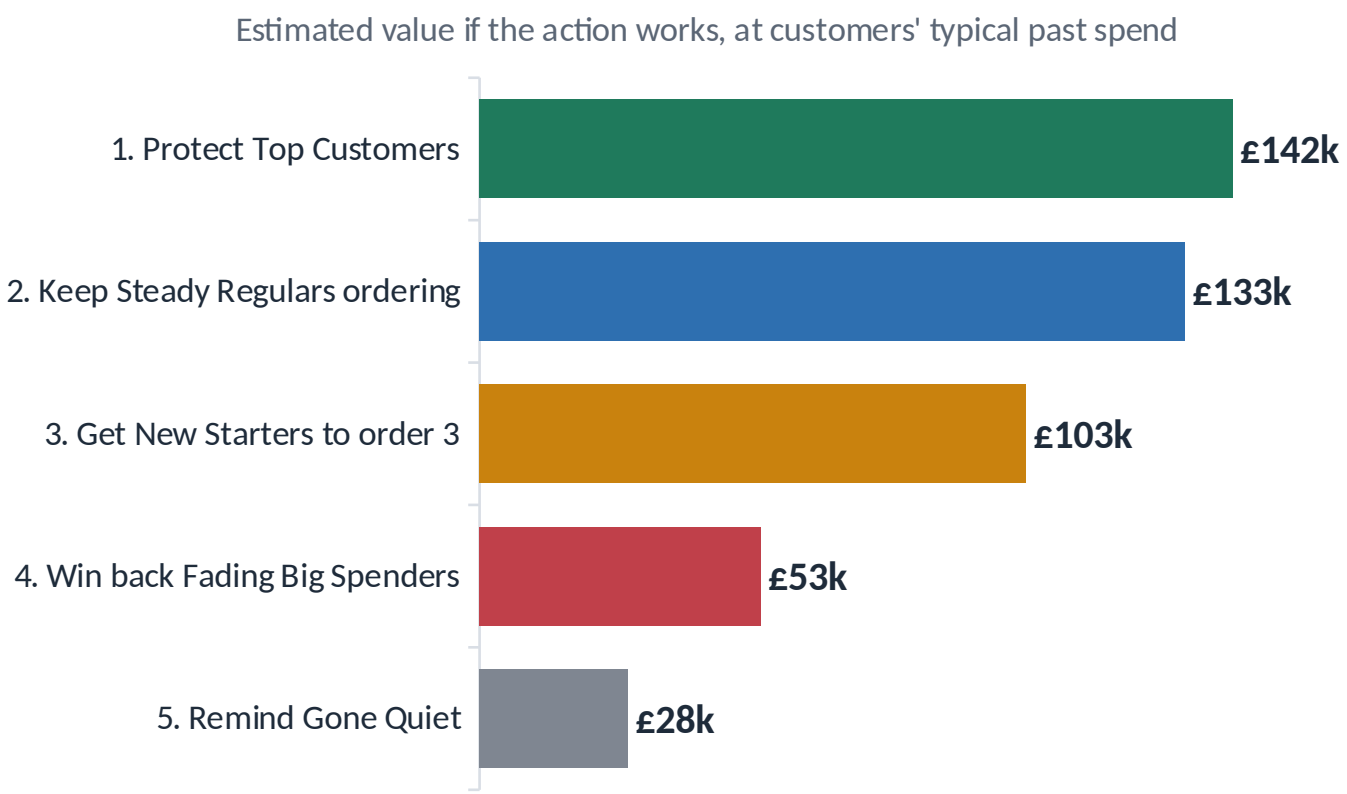
Bulk email only

WHEN

Once, before Christmas

WHERE TO START

Start with Top Customers and Steady Regulars: they hold most of the value



How we estimated this

- Top: keep 1 in 4 of the 126 who stopped × £4,429
- Steady: keep 1 in 5 of the 444 who stopped × £1,496
- New: 1 in 10 of 722 become repeat buyers × £1,436 extra
- Fading: win back 1 in 10 of the 299 who stopped × £1,765
- Gone Quiet: win back 1 in 20 of the 1,702 who stopped × £328

Response rates are assumptions to test, not predictions.

So what? Together about £460k. The first two actions give about 60% of it, and both groups are customers we already know well.

PUTTING IT INTO THE CRM

Four changes make the groups part of everyday CRM work

Add four fields

Customer group, customer score (5 to 20), days since last order, number of orders.

Build five saved lists

One list per group, so every campaign starts from the right audience.

Set a few triggers

60 or 120 days with no order, 7 days after a first order, and any move down a group.

Report by group

Orders, spend and customers lost for each group, every month.

A typical week for the CRM team

- **Monday:** Review Steady Regulars who passed 60 days with no order
- **Tuesday:** Call list of Fading Big Spenders for the account team
- **Every day:** New Starter emails go out automatically
- **Friday:** Check any Top Customer quiet for over 30 days
- **1st of month:** Refresh groups and share the results report

So what? No new system is needed, fields, saved lists and triggers are standard in most CRM tools. The data team supplies the monthly group update.

HOW IT FITS TOGETHER

From sales data to results: a simple monthly cycle



Sales data

Every order and cancellation, linked to a customer number



Grouping

Score each customer and assign one of five groups, monthly



CRM action

Right offer, channel and timing for each group



Business outcome

More repeat orders, fewer customers lost, spend by group



Measure the results, then refresh the groups at the start of every month

WHAT TO KEEP IN MIND

Risks, assumptions and limits of this analysis

Guest buyers are not included

23% of sales lines had no customer number (about 14% of spend). These buyers are in no group.

The data is from 2009 to 2011

Check the patterns on current data before any large spend.

Season changes the numbers

Figures shown are mostly from Sept to Dec, when more customers return. Summer is harder.

Groups describe the past

They show who is likely to stay, not a promise about any one customer. Brand-new buyers can't be grouped until they order.

Value figures are scenarios

Based on typical past spend and assumed response rates. Test with controlled groups first.

A narrow view of the customer

No data on emails, website visits, complaints or why people left. Large wholesalers and small shops are mixed.

Five groups, five different jobs for the CRM team

What we learned

- Top Customers and Steady Regulars are 36% of customers and 80% of spend.
- Half of customers had not ordered for 5+ months; Fading Big Spenders are still worth winning back.
- The third order is when customers start to stay.
- Days since last order is the best warning sign: act at 60 days (summer) or 120 (autumn).
- Customers change groups quickly, so refresh the lists every month.

Next steps

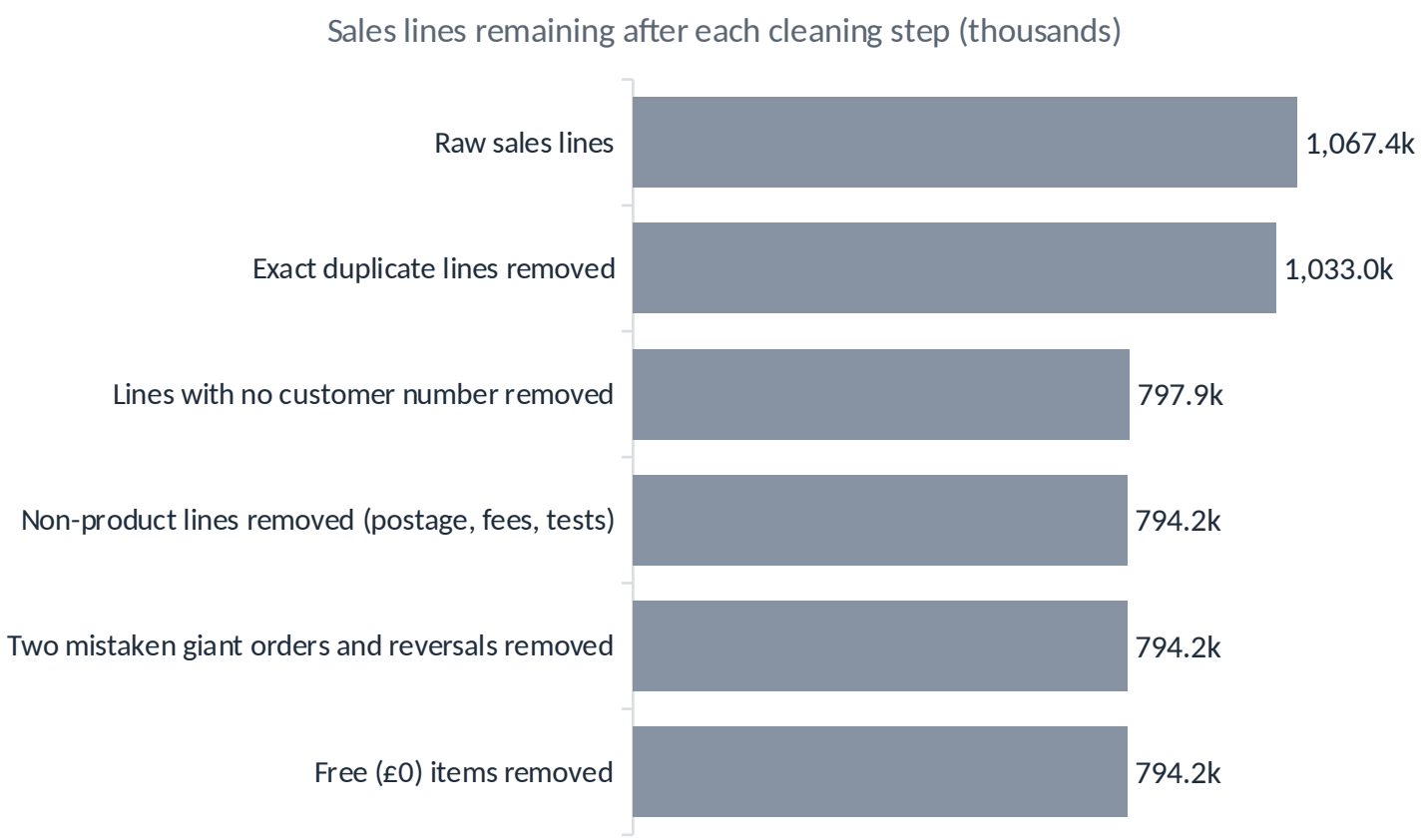
1. **Weeks 1–2**
   Load the group fields into the CRM and build the five lists
2. **Month 1**
   Start Top Customer care and the 60-day reminder
3. **Month 1–2**
   Launch the New Starter series, aimed at order three
4. **Aug–Oct**
   Personal win-back for Fading Big Spenders
5. **Monthly**
   Refresh groups, test against hold-backs, report

APPENDIX

Technical details for interested readers

A1 Data and cleaning A2 How the groups are built A3 How we checked the groups A4 How the value estimates were worked out

From 1.07 million raw sales lines to 794,159 clean lines



Source

Online Retail II (UCI), UK gift retailer, 1 Dec 2009 to 9 Dec 2011.

Customers

5,942 with a customer number; 5,253 had ordered before the 9 Sept 2011 snapshot.

Cancellations

17,586 lines (invoices starting with C) are netted against purchases.

Country

Grouped as UK and non-UK (90% of lines are UK). Used only to describe groups.

RFM scoring: three scores from 1 to 4, and five simple rules

Scores are based on quarters of all customers (1 = bottom quarter, 4 = top quarter)

Group	Analysis name	Rule (checked top to bottom)	In plain words
Top Customers	Champions	R = 4 and F + M ≥ 7	Ordered very recently, near the top on value
Steady Regulars	Loyal	R ≥ 3 and F + M ≥ 5	Ordered recently, solid value
New Starters	Needs Attention	R ≥ 3	Ordered recently, low value so far
Fading Big Spenders	At Risk	F + M ≥ 6	Used to be valuable, not recent
Gone Quiet	Lapsed	Everyone else	Not recent, low value

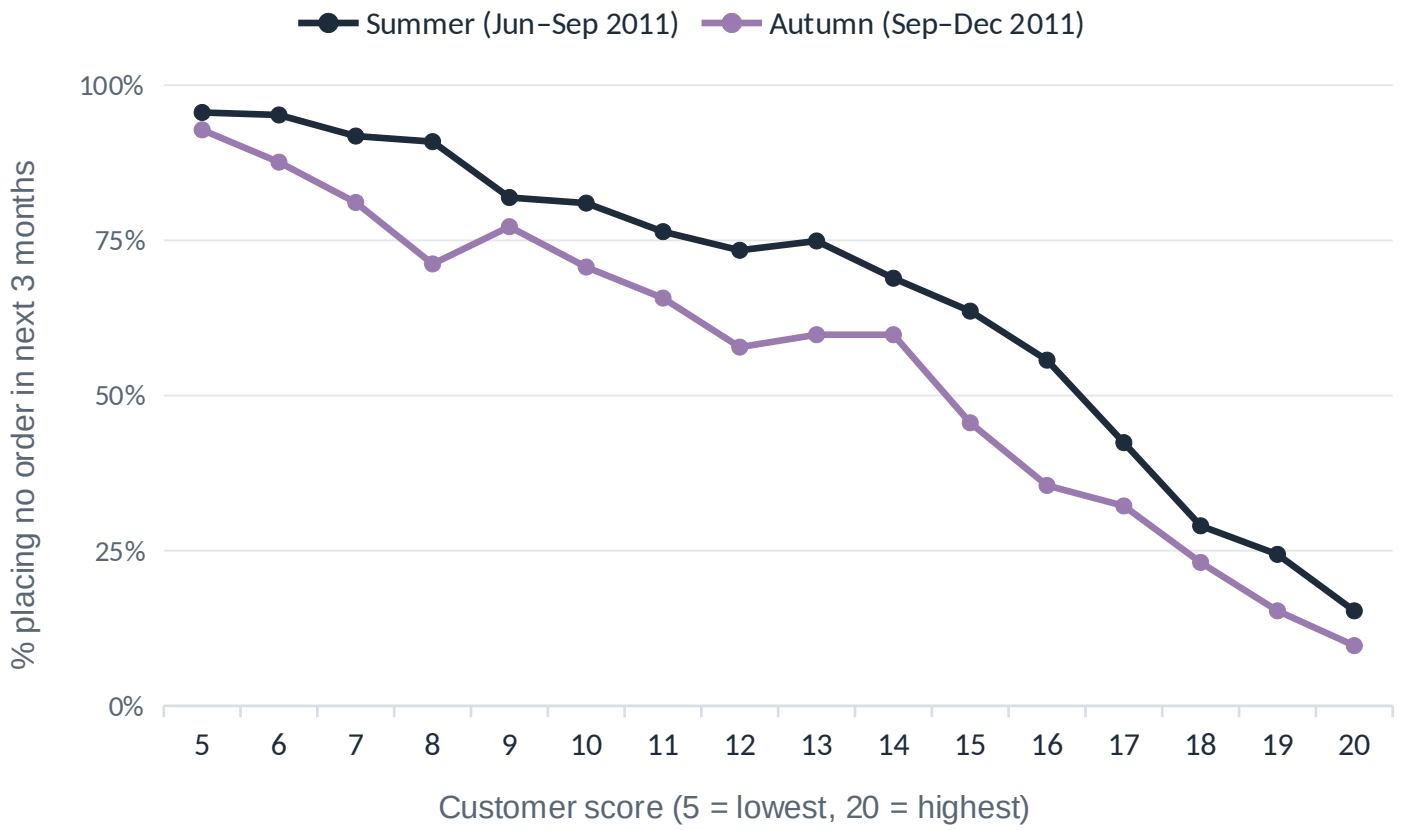
Why rules instead of a clustering model: the rules are easy to explain, easy to rebuild in a CRM, and gave groups that sorted customers clearly by later behaviour.

Score cut-offs (9 Sept 2011)

R Recency	49 · 162 · 324 days
F Frequency	1 · 3 · 6 orders
M Monetary	£310 · £759 · £2,004
Product breadth	18 · 41 · 92 products
Average order value	£169 · £268 · £399

Customer score (5 to 20) = R + F + M + breadth score + order value score. Tenure, basket size, cancellation rate and country are used only to describe the groups.

Higher customer scores meant fewer customers lost, in both seasons



Built blind, checked after

Groups used only data before the snapshot; what happened next was checked afterwards.

Same order in both seasons

Top Customers lost the fewest and Gone Quiet the most, in June and in September.

Season difference is real

McNemar test on 4,944 customers: 972 came back in autumn vs 444 who went the other way ($p < 0.0001$).

Each estimate = customers affected × typical past spend

Action	Starting point (autumn 2011)	Assumed response	Customers	Value each	Estimate
Protect Top Customers	126 of 786 placed no order	Keep 1 in 4	32	£4,429	£142k
Keep Steady Regulars ordering	444 of 1,120 placed no order	Keep 1 in 5	89	£1,496	£133k
Get New Starters to order 3	722 New Starters	1 in 10 become repeat buyers	72	£1,436 extra	£103k
Win back Fading Big Spenders	299 of 495 placed no order	Win back 1 in 10	30	£1,765	£53k
Remind Gone Quiet	1,702 of 2,130 placed no order	Win back 1 in 20	85	£328	£28k
Total					**≈ £460k**

- Value each is the median spend of the group up to 9 Sept 2011, covering roughly 18 months of history. Value would build up over a similar period.
- New Starters: gap between a typical repeat buyer (£1,778) and a typical New Starter (£342).
- Response rates are illustrative. Replace them with measured results after the first hold-back tests.